

Seeding to Succeed: First-time Deals 2021 Trends

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 Beauhurst

SFC



Executive Summary

**Stephen Page,
Founder and CEO
at SFC Capital**

Numbers collected recently by Beauhurst as an update to last year's *Seeding to Succeed* report show only a minimal increase in terms of the number of first-time seed-stage deals done, but a significant increase in terms of the overall amount raised in such deals. While it's good to see that more capital is finding its way to new businesses, this growth is not big enough compared to what we're seeing in later-stage venture capital. More importantly, not enough companies are receiving seed investment. It looks that most businesses created in 2020 failed to attract initial funding. Investors concentrated on backing only a small group of new businesses, and this might be a sign of more aversion to risk and a dangerous trend that is contrary to growth in general.

In order to maintain strong funding of innovation at later stages, seed-stage funding has to be double or triple that at the later stage — both in terms of number of deals and amount of investment. Funding via SEIS and EIS is crucial to ensure this, and cannot be underestimated.

These days the UK is facing a new set of financial challenges: a cocktail of the Brexit implementation period, a crisis around the cost of living, geopolitical tensions, and post-pandemic recovery. Young companies, which are agile

and ambitious in nature, can play a vital role in meeting these challenges. This might be directly, by innovating solutions to newfound problems or changes in the way we live and work, or indirectly through the value generated by their rapid growth, seen in job creation and tax receipts.

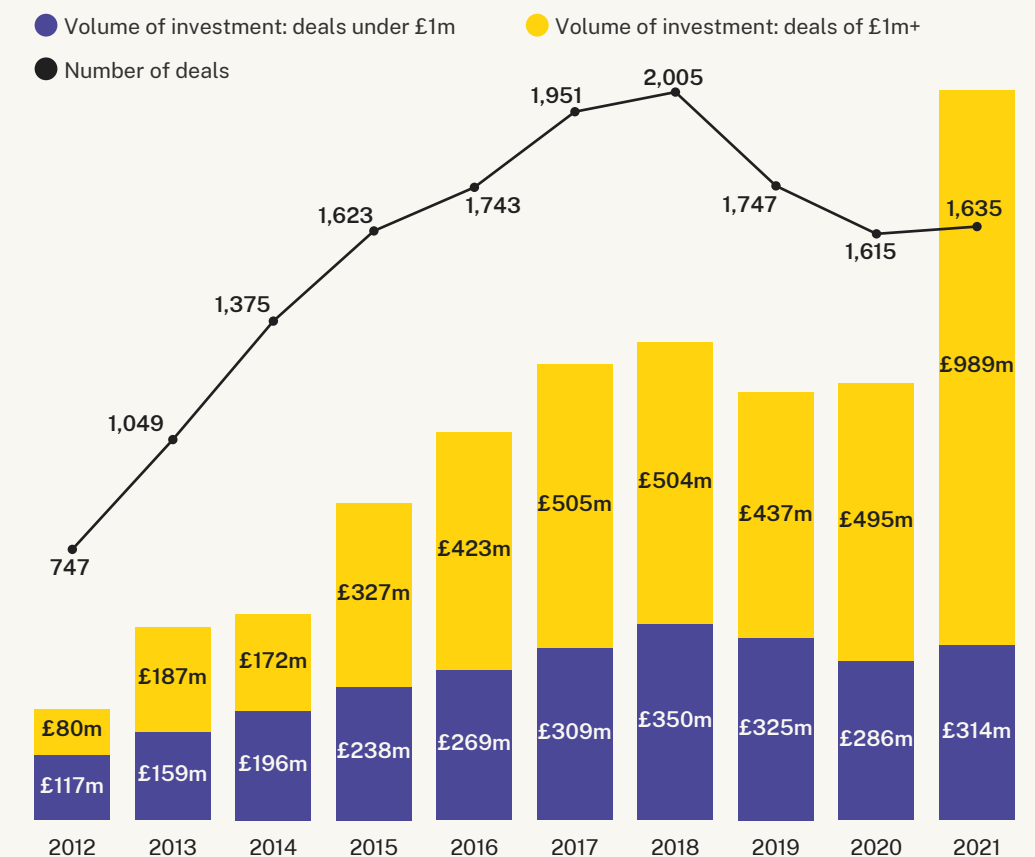
This means that the seed stage is a critical part of the entrepreneurial ecosystem and needs greater support. Over the last decade, SEIS has had a transformative impact on the availability of funding for seed-stage companies — by offering tax reliefs to individual investors it has allowed young businesses to flourish. This is a phenomenon we need to see continuing as startups meet the UK's new financial challenges; SEIS and EIS should be used as a tool to incentivise essential capital circulation in the economy that will fund them.

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Moving forward, we can expect that newly-formed businesses will generate a number of innovative products and services focused on social sustainability, climate change, or other ESG concerns. Despite increasing interest in these areas, many investors remain reluctant to back such businesses, especially in their early stages, believing there will be lower returns. SEIS and EIS funding will again be important here, encouraging investors to back these young businesses when they are newly trading. This will enable them to grow, make an impact, and be ready for follow-on investment down the line.

The decline of investment activity between 2018 and 2020 was a concern last year and may have been linked to changes to the Seed Enterprise Investment Scheme (SEIS). Another reason for a drop in 2020 may have been pandemic-related investor hesitancy. The data from 2021 suggests the number of deals are increasing again — deals rose from 1,615 in 2020 to 1,635 in 2021. Although growth is always welcome, it's not dynamic enough to provide real cause for optimism about the future. The volume of initial seed-stage investment boomed to more than £1.3 billion in 2021, with some of the top sectors securing funds including internet platforms, mobile apps, Software-as-a-Service, and analytics and insight tools. This suggests that a limited group of companies take it all and investors are not diversifying and are remaining risk-aware.

First time deals by seed-stage companies (2012-2021)

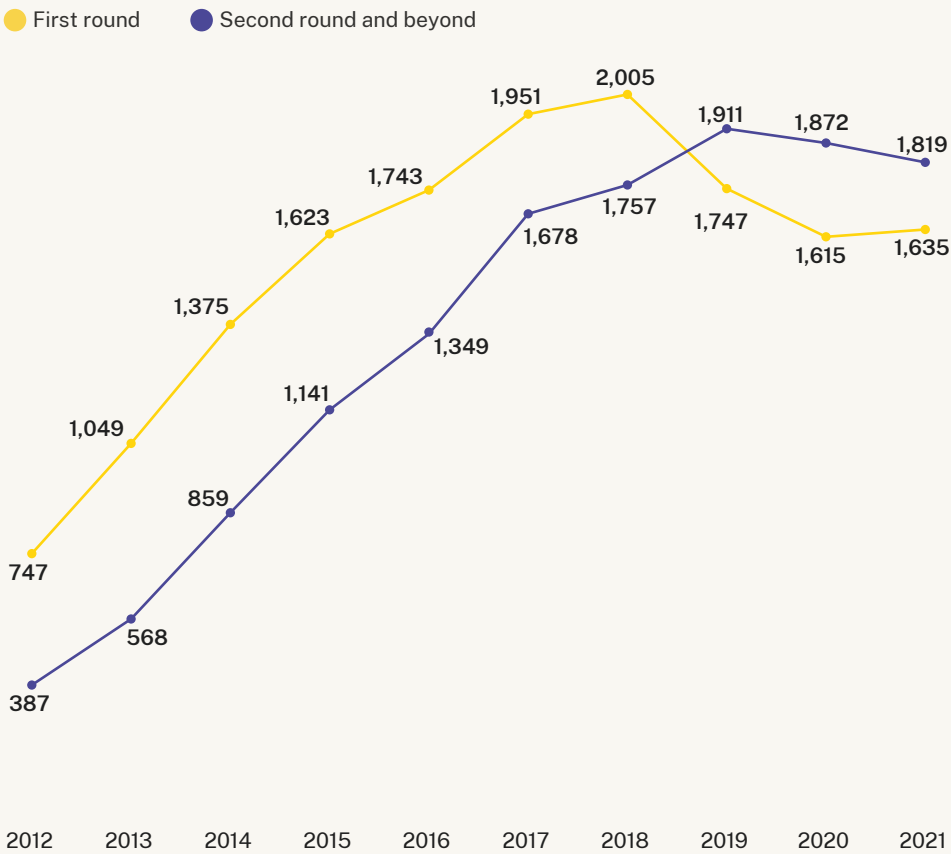


First-time deals and SEIS

In 2021, the number of initial deals in the seed-stage increased while the number of second deals and beyond declined, drawing the two figures close to converging again. The pandemic and changes to both everyday life and business activities triggered a flurry of innovation; the 2021 increase in seed-stage initial deals may be a sign of investors beginning to be ready to tap into this new entrepreneurship.

This early-stage funding is vital for young businesses to start growing. Early finance allows companies to work on product development, conduct market research, and take on their first key staff. Initial investment into new businesses as the economy began its recovery in 2021 was and remains vital.

Number of seed-stage equity deals by round number (2012-2021)

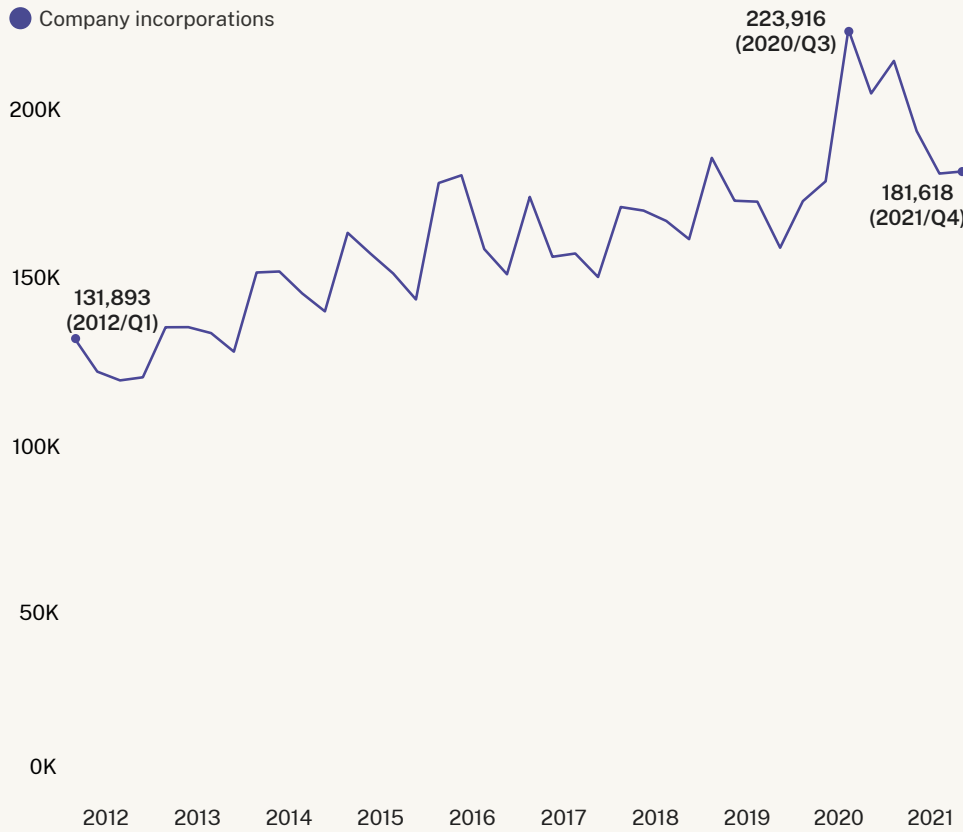


Seed-stage supply and demand

“The record rates of new companies incorporating – with a peak in Q3/2020 – suggests that the decline in first-time fundraising is not immediately a problem with demand for financing. Because of the time it takes for new companies to get ready to raise external finance, we may only be seeing the beginning of the positive impact of these new incorporations.”

Henry Whorwood,
Head of Research
and Consultancy,
Beauhurst

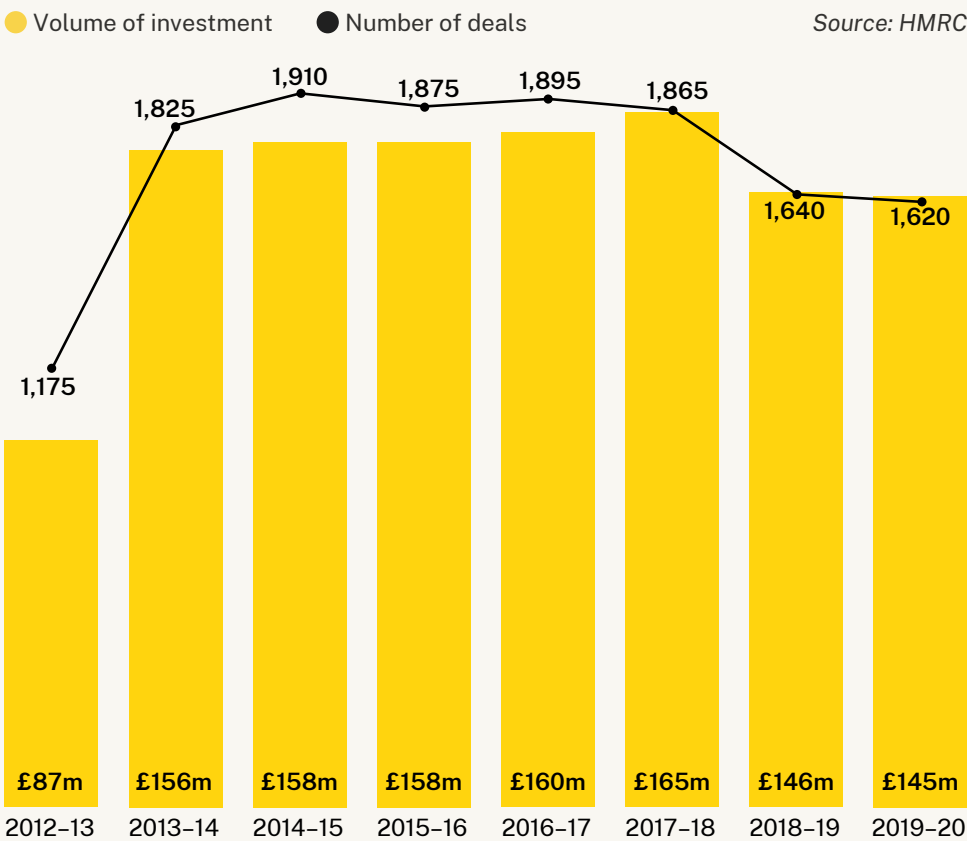
Number of company incorporations over time by quarter (2012-2021)



“SEIS has been instrumental in helping to get some of the UK’s best tech startups funded. But because of changes in the economy it needs to be expanded to keep pace with the needs of the next generation of startups. Hopefully – amongst other changes – we will see the company allowance increased soon.”

Dom Hallas,
Executive Director,
Coade

SEIS trends by companies raising first time deals (2012-2021)



Source: HMRC

Crowdfunding platforms Crowdcube and Seedrs remained significant as sources of investment for seed-stage businesses in 2021, as they did in the decade as a whole. For some, equity crowdfunding is part of a co-investment strategy with more traditional venture capital. Crowdfunding may provide traction to a product and match funding where needed, while early-stage funds can offer expertise and drive momentum to a crowdfunding campaign in addition to their capital.

Joint-topping the ranking alongside Crowdcube was SFC Capital, also participating in 46 deals. SFC’s investments included Algra, a provider of ethical financial services; Odore, a marketing tool using the Internet of Things; and Checkboard, a property technology firm.

Top investors by number of first time seed-stage equity deals (2021)

SFC Capital	46
Crowdcube	46
Seedrs	38
Ascension	12
Scottish Enterprise	11
YCombinator	7
Access EIS	7
Seedcamp	6
RLC Ventures	5
NorthInvest	5
Minerva Business Angel Network	5
Ada Ventures	5

2022 prognosis

Although the year-on-year decline in the number of first-time seed-stage investments has stopped, it is important to note that the growth between 2020 and 2021 has been modest. The data suggests that the number of companies that receive investor money at the seed stage is plateauing, a worrying trend that must be reversed in order to nurture the next generation of innovative startups. Seed-stage investment needs to be comfortably higher than later-stage in order to keep innovation fuelled throughout the ecosystem.

A record number of new companies — 781,000 — were started in 2020, with 2021 close behind. As these companies mature, they will start to seek external finance to fuel their growth. Of the 494,000 businesses incorporated in 2012, 1,568 raised equity. At the same rate, 2,479 of 2020's new companies will raise funds. With this promising tailwind of potential demand from new companies, some of them bringing important solutions to the market, it's crucial to ensure the right level of funding supply. The top organised investors into first-time deals in 2021 are all continuing to invest in 2022 (and beyond). A key factor, however,

will be supporting the use of the SEIS scheme by individual investors — who often underpin the funds deployed by institutional investors. As we have noted before, individuals are the seed investors most susceptible to change in the macroeconomic climate: putting £150,000 into an early-stage company requires great confidence. At the same time, the typical first-time investment of £150,000 is not enough anymore to support progress — the times have changed, inflation is driving up prices and the costs of running a business, and startups from the US, the EU, and China attract higher tickets and are more comfortable penetrating international markets. Already in 2022 the macroeconomic headwinds are blowing hard, so uncertainty remains around these deals. Therefore, it is more critical than ever that young companies are supported in their scaling journey. We have already tracked nearly 100 first-time deals in January, and are still finding more — it is essential to keep sight of the necessity of SEIS to the innovation ecosystem going forward. SEIS, as well as EIS, the tested and proven tools of investing in innovation, have to be reinvented, improved, and reinforced before it is too late.

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Beahurst

Beahurst is a searchable database of the UK's high-growth companies. Our platform is trusted by thousands of business professionals to help them find, research and monitor the most ambitious businesses in the UK. We collect data on every company that meets our unique criteria of high-growth; from equity-backed startups to accelerator attendees, academic spinouts and fast-growing scaleups.

Our data is also used by journalists and researchers who seek to understand the high-growth economy, and powering studies by major organisations — including the British Business Bank, HM Treasury and Innovate UK — to help them develop effective policy. For more information and a free demonstration, visit beahurst.com.

SFC

SFC Capital is the UK's most active seed-stage investor, providing seed capital and support to promising British startups. By combining our award-winning angel syndicate with our own seed investment funds, we have created a unique model that provides investors with diversified exposure to high-potential SEIS and EIS-qualifying businesses.

We have backed over 250 companies across the UK, and have been named Best SEIS Fund Manager at the 2020 Growth Investor Awards and Most Active Investor in the Regions Award at the 2021 UKBAA Angel Investor Awards. To learn more about what we do and see our portfolio, visit sfccapital.com.

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